

LIVE

Learning Space

NEWSPAPER

9th OCTOBER, 2018

ITEM WISE EDITORIALS

41st WEEK



INDIA – RUSSIA DEFENCE RELATIONS ... A COMPREHENSIVE VIEW

UPSC CSE – GS II

GS II ... International Relations



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NEWSPAPER EDITORIALS

... DISCUSSION

9th OCTOBER, 2018

1

Oldest friends

India needs to stand firm on its deep engagement with Russia in coming months

India-Russia summits have traditionally been short on time and ceremony and big on productivity. Russian President Vladimir Putin's 22-hour visit to Delhi last week was no exception. On Friday, the two countries announced a number of agreements, including a \$5.43 billion S-400 Triumph missile system deal, a space cooperation arrangement to put an Indian in space, and an action plan for a new nuclear plant. Prime Minister Narendra Modi and Mr. Putin also addressed a business summit, in an attempt to diversify ties and increase bilateral trade, currently below \$10 billion. Much of the fresh momentum in bilateral engagement will come from the energy sector. Though the two sides didn't announce an agreement between ONGC Videsh and Gazprom as expected, several billions of dollars worth of investment and energy deals are in the pipeline. Significantly, the agreements discussed during Mr. Putin's visit have geopolitical implications. The signing of the S-400 air defence system deal, for instance, is of far greater consequence than its size. It denotes India's desire to deepen defence cooperation with Russia; also that it is prepared to do this despite U.S. warnings that the deal could attract sanctions. That this deal comes just a month after India signed the Communications Compatibility and Security Agreement (COMCASA) for better interoperability with the U.S. military is a sign that India will not be forced or even persuaded into putting all its eggs in one strategic basket.

New Delhi's assertion of "strategic autonomy" and desire for multipolarity will be seriously tested in the coming months. For one, it chose to sign the S-400 deal, but resisted concluding other major defence deals with Russia on helicopters, stealth frigates and assault rifles, which Moscow will no doubt push for. More defence deals with Russia will make it increasingly difficult for the U.S. to give India a waiver from sanctions under CAATSA, its legislation aimed at curtailing defence and energy dealings with Russia, Iran and North Korea. Washington has already reacted to the S-400 deal, making it clear that any waiver will not be on a "country" basis, but on a "transaction-by-transaction" basis. In any case, accepting a waiver will implicitly commit India to reducing its intake of Russian military hardware. Both on CAATSA and on the U.S.'s proposed sanctions on Iran that go into force on November 4, India will need to make some tough decisions. It is one thing to reinforce long-standing and close friendships as Mr. Modi did during his annual summit with the Russian President this month, and with the Iranian President earlier this year, or with the U.S. President last year – the situation can be much more complex when friends expect you to choose between them.

THE HINDU
INDIA'S NATIONAL NEWSPAPER SINCE 1878

8th October, 2018

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UPSC CSE – GS II

GS II ... International Relations

Bilateral, regional and global groupings and agreements involving India and/or affecting India's interests.

IMPORTANT QUESTION

ESSAY/ MAINS / GD / INTERVIEWS

Examine the trajectory of India-USSR / Russia defence relations since Independence.

OR

“India's recent decisions with regard to defence purchases are with a desire for strategic autonomy and multi-polarity”. Discuss.

IAS MAINS 2018 & 2019

360° VIEW

GS II ... INTERNATIONAL RELATIONS

CAATSA, COMCASA ... INDIA'S DILEMMA

MODULE – 1



INDIA ... DEFENCE RELATIONS

1947

Totally reliant on Britain

1948-49

India attempted to obtain US
equipment

Failed, but in 1950 only
Sherman Tanks could be
procured

1950s

France to some extent

Mostly from Britain

Only very few from US



INDIA ... DEFENCE RELATIONS

1954

USSR offered to sell military equipment, but Nehru declined as it was felt that the relationship with West may become complicated



LATE 1950s



Mi 4

USA

AN - 12



Decided to provide Pakistan with supersonic F-104 Star Fighter



Search for supersonic fighter begins

INDIA ... DEFENCE RELATIONS

LATE 1950s & EARLY 1960s



INDIA ... DEFENCE RELATIONS

SUBSEQUENT DEVELOPMENTS IN 1960s



The relationship with USSR has grown due to

- *Long Term credit*
- *Non-Convertible rupee payments*

- 1 It infuriated China, as MIG-21s were refused by USSR sometime back to China.
- 2 It gave an impression, as per some scholars, that USSR was on our side in Sino-Indian conflict.
- 3 After Chinese attack in 1962, western countries & commonwealth proposed military aid to India
- 4 But USA declined sale of combat aircraft, not to antagonize Pakistan.
- 5 India's criticism of US bombing of Vietnam in 1960s has not gone well with US.

INDIA ... DEFENCE RELATIONS

1971

Indo-Soviet Treaty of Peace, Friendship
and Co-operation

Co-operation continued till 1991 with
the undivided USSR.

1991

USSR Broken

Russia

Sukhoi

Leasing of
INS Chakra

Russia Inventory in 1991
→ 75%

2018 → 68% and most
of them became obsolete



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INDIA ... DEFENCE RELATIONS



MiG-27

In 1962, USSR agreed to transfer the technology to co-produce its MiG-21 series. It was followed by MiG-27, MiG-29, Mi-35, Mi-26, Mi-17 etc. Most of these deals related to Government to Government agreements.

THE SOVIET ERA RELATIONS IN A NUTSHELL

- 1 USSR was one country that sent its Ambassador to establish diplomatic relations with India prior to our declaration of independence.
- 2 In 1950s, it announced its support to the Indian sovereignty over the disputed territory in Kashmir and in Goa.
- 3 In 1962, it declared neutrality in the Sino-Indian war of the 1962.
- 4 In 1965, it played a major role in brokering peace between India and Pakistan.



OUTCOME OF THE RUSSIAN PRESIDENT'S VISIT

- 1 The two countries announced number of agreements, most important are
 - \$ 5.43 billion S-400 Triumf Missile Defence deal.
 - Action plan for a new nuclear plant.
 - A space cooperation arrangement to put an Indian in Space.
- 2 Mr.Putin also addressed a Business Summit, the bilateral trade is hovering around \$ 10 billion.
- 3 Several billions of dollars of investment and energy deals are on the pipeline.



S-400





WHAT DO YOU UNDERSTAND BY CAATSA?



- 1** Countering America's Adversaries Through Sanctions Act (CAATSA) was enacted on 2nd August, 2017.
- 2** It aims to counter the aggression by Iran, Russia and North Korea through the punitive measures.
- 3** One part of the Act primarily deals with sanctions on Russian interests, such as its oil and gas industry, defence and security sector and financial institutions.
- 4** In the backdrop of its military intervention in Ukraine and alleged meddling in the 2016 US Presidential elections, Section 231 of the Act empowers US President to impose at least 5 out of 12 listed sanctions.
- 5** These are on persons / entities engaged in a significant transactions with Russian defence and intelligence sectors.

Meanwhile, the Department of State has notified 39 Russian entities dealing with which could make third parties liable to sanctions.

HOW TO VIEW THE DEVELOPMENT OF S-400 PURCHASE?



- 1 It indicates India's desire to deepen defence cooperation with Russia. This is despite U.S. warnings that the deal could attract sanctions.
- 2 Moreover, this deal comes a month after India signed the COMCASA for better interoperability with the U.S. military.
- 3 It indicates that India is not putting the eggs in one strategic basket.
- 4 It indicates assertion of "Strategic Autonomy" for India. It is a desire for multi-polarity.



HOW TO VIEW THE DEVELOPMENT OF S-400 PURCHASE?



STEALTH FRIGATES



ASSAULT RIFLES

- 5 India signed the deal of S-400, but resisted concluding other deals like stealth frigates and assault rifles. Probably, India has not taken the decision of signing other deals, keeping in mind the waiver may not be possible, if all these are signed.
- 6 USA already reacted to S-400 deal, making it clear that any waiver will not be on a “country” basis, but on “transaction-by-transaction” basis.
- 7 Moreover, US proposed sanctions on Iran will go into force on November 4. So, India wants to convey some tough decisions.



UNRESOLVED ISSUES!

- 1 There is no clarity on several large defence deals, except S-400. These include deals for 200 Ka-226 and 48 Mi-17V-5 helicopters, as well as four Project 11356 frigates, agreements for which were signed in 2015-2016.
- 2 Similarly, there has been no progress on allotting a site for a new nuclear plant, for which the agreement was signed with Russia's Rosatom in 2014.
- 3 There is no significant progress on the free trade agreement between India and the Eurasian Economic Union (EAEU) comprising Russia and several CIS countries, the talks for which were initiated in 2015.



UNRESOLVED ISSUES!

- 4 In 2014, our Prime Minister and Vladimir Putin set a target for bilateral trade at \$30 billion and mutual investments at more than \$15 billion annually by 2025. No concrete steps in this context. With Rosneft- Essar like deals, the investments is achievable, but trade volumes are not up to the mark.
- 5 The implementation of the International North-South Transport Corridor (INSTC) remains a distant dream.
- 6 No formal progress on the talks on settlement in national currencies between the two Countries.



International North-South Transport Corridor (INSTC)

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